NCFE Financial Literacy: Managing Your Money

An emergency fund is money kept aside for unexpected expenses such as a medical bill or a sudden loss of income. A common guideline is to save at least three to six months of household expenses in an easily accessible account before starting to invest.

A budget helps you plan your money. A simple rule is to save a portion of your income first, and then spend the rest on needs and wants. Tracking spending for one month shows where money actually goes.

An EMI, or Equated Monthly Instalment, is a fixed monthly payment that repays both the principal and the interest on a loan. A longer tenure lowers the monthly EMI but increases the total interest paid over the life of the loan.

Before taking any loan, compare the interest rate offered by different lenders, because even a small difference in the rate can add up to a large amount over the full repayment period. Borrow only what you can comfortably repay from your regular income.

Never share your UPI PIN, card PIN, or any OTP with anyone. A genuine bank or government office will never ask for these over a phone call, SMS, or message. If a message creates urgency and asks you to click a link, treat it as a likely scam.